

ment to offer accessible and affordable products and services to the low-income, less tech-savvy population. The shift to remote work and learning during the pandemic led to a significant boost in the adoption of digital services among consumers in Tier II and III cities, narrowing the digital infrastructure gap between urban and non-urban areas. Today, around half of the recognised start-ups in India are from Tier II and III cities.

"In the next 25 years, Bharat is expected to see a significant shift towards urbanisation. This will be driven by the growth of India's physical and IT infrastructure, which will enable more people to access modern technology and services...This will present a wide range of opportunities in various domains," says Ramkumar Narayanan, Chair of industry body Nasscom's Product Council and VP-Technology and MD at cloud computing major VMware.

He feels communications software and digital payments will enable easy access to technology for Bharat, while agri-tech, urbanisation, healthtech, IoT, robotics and renewable energy will revolutionise the country by enabling farmers to optimise crop yields, improve healthcare access in rural areas and provide sustainable energy solutions.

Sanjeev Barnwal, Founder & CTO of value commerce platform Meesho, expects an explosion in the number of companies looking to tap Bharat, making it the mainstay of the Indian economy. "One would expect near-total digitisation, novel tech solutions like vernacular, voice, conversational AI along with increased disposable incomes, a young demographic and the explosion of social media to be significant drivers [for growth of this segment]," says Barnwal. Notably, over 80 per

FOR BHARAT, OF BHARAT, BY BHARAT

1 As many as 64 per cent of transacting shoppers were from Tier II and beyond cities during the 2022 festive season sales, says RedSeer

2 Rural areas will be responsible for 54 per cent of online shoppers and 24 per cent online retail spending by 2030, says a report by Boston Consulting Group

BANKING THE UNBANKED

1 Credit extended to MSMEs by NBFCs grew by 14.6 per cent in FY22, compared to a growth of 2.8 per cent in the previous fiscal, data from RBI shows

2 53 per cent of SMEs and 47 per cent of micro-enterprises have adopted digital sales platforms as against the pre-pandemic figure of 29 per cent, says a report by CRISIL

cent of Meesho's 140-million users and nearly 40 per cent of its 800,000 sellers hail from Tier II cities.

Sarath Naru, Managing Partner at venture capital fund Ventureast, says Bharat-tech is no more a niche investment play; it is mainstream. "The decreasing marginal returns from additional investments in the urban sector is driving both existing businesses to switch their focus and new investments in Bharat, as well as investments by VCs," he says.

THE FINANCIAL INCLUSION ENGINE

The India Stack, a digital infrastructure consisting of identity, payment, and data sharing rails, continues to help the country widen access to affordable financial services. Digital innovations like Unified Payments Interface (UPI), eKYC, and the Account Aggregator (AA) network have greatly increased access to financial services for those who were earlier unbanked or under-banked and have also boosted the Indian economy by facilitating e-commerce and digital transactions. The next step is to bridge the digital divide in financial inclusion, a massively large and untapped market for start-ups.

The JAM trinity (Jan Dhan Yojana-Aadhaar-Mobile) initiative by the government has enabled nearly all households in India to have access to bank accounts and make efficient, low-cost digital payments via UPI and Aadhaar-enabled payment systems. The government has stated it wants to take financial services to every corner of the country using digital technologies. "Akin to how the UPI infrastructure transformed the digital payments landscape in the past decade, other public digital platforms such as AA, Open Credit Enablement Net-